today such feelings are there in several quarters of the economy. The politics of the economic reforms damaged India more than the reform has benefitted the country. It would not be an exaggeration if we conclude economic reforms had no political consensus. Political parties in India are divided on the issue of reforms—the parties together with the masses lack the level of political maturity required for the success of the reforms programme. It is right, democratic maturity comes to a multi-party political system but it takes time. It takes even more time where masses are unaware and ignorant. The emotional issues of religion, caste, etc. play their own roles in such situation.

The **IMF conditions** put forth for India were as under:

(i) Devaluation of the rupee by 22 per cent (which was effected in two phases and the Indian rupee fell down from Rs. 21 to Rs. 27 per US dollar).

(ii) Drastic reduction in the peak import tariff from the prevailing level of 130 per cent to 30 per cent (India completed it by 2000–01 itself and now it is voluntarily cut to the level of 15 per cent).

(iii) Excise duties (i.e CENVAT now) to be hiked by 20 per cent to neutralise the revenue short falls due to the custom cut (a major tax reform programme was launched to streamline, simplify and modernise the Indian tax structure which is still going on).

(iv) All government expenditure to be cut down by 10 per cent, annually (i.e cutting the cost of running the government and denotes, interests; pays, pension and the PF; subsidies. A pressure on the Government to consolidate the fiscal deficit and go for fiscal prudence).

Though India was able to pay back its IMF dues in time, the structural reform of the economy was launched to fulfill the above-given conditions of the IMF. The ultimate goal of the IMF was to help India bring about equilibirium in its BoP situation in the short-term and go for macroeconomic and the structural adjustments so that in future the economy faces no such crisis.

There was enough scope for the critics to take India’s economic reforms as prescribed and dictated by the IMF. The process of economic reforms in